Amendment No. 2 to HB1777

Vaughan
Signature of Sponsor

AMEND Senate Bill No. 2126 House Bill No. 1777*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 67-4-2006(b)(1)(O), is amended by deleting the subdivision and substituting instead:

(O)

(i) Subject to subdivision (b)(1)(O)(ii), any deduction by any of the following for dividends paid, as defined under 26 U.S.C. § 561, that is allowed and taken under 26 U.S.C. § 857(b)(2)(B):

(*a*) Captive REIT, including a captive REIT that is owned, directly or indirectly, by a bank, a bank holding company, or a public REIT;

(*b*) Public REIT; or

(*c*) Private REIT;

(ii) Subdivision (b)(1)(O)(i) applies only to captive REITs, public REITs, and private REITs that own single family residential real property and derive income from the rental of that property;

SECTION 2. Tennessee Code Annotated, Section 67-4-2019, is amended by deleting the section and substituting instead:

(a) Except as provided in subsection (b), there is exempt from the payment of the excise tax levied under this part any person treated as a partnership for federal tax purposes that directly or indirectly distributes one hundred percent (100%) of its net earnings or net losses to a public REIT.

(b) Subsection (a) does not apply to a public REIT that owns residential real property and derives income from the rental of that property.

SECTION 3. Tennessee Code Annotated, Section 67-4-2006(a)(5), is amended by deleting the subdivision and substituting instead:

(5)

(A) Subject to subdivision (a)(5)(B), in the case of a person or taxpayer treated as a partnership for federal tax purposes that is directly or indirectly owned by a public REIT, "net earnings" or "net loss" is defined as an amount equal to the amount determined pursuant to subdivision (a)(4):

(i) Less the amount distributed either directly or indirectly to a public REIT; and

(ii) As adjusted by subsections (b) and (c).

(B) Subdivision (a)(5)(A) does not apply to a public REIT that owns residential real property and derives income from the rental of that property.

SECTION 4. This act takes effect upon becoming a law, the public welfare requiring it, and applies to tax years ending on or after December 31, 2026.